

A pre-feasibility study of the establishment of a resort in Tafela Governorate



2017

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1. Executive Summary

The project aims to create a therapeutic resort to improve the tourism sector and exploit the presence of mineral water with healing properties in the province, where this project is considered feasible and needed. The resort offers overnight option, in addition to having multiple swimming pools along with a Turkish-style bath.

The Table below shows the most important indicators of the project:

Table1 : Economic Indicators

Indicator	
Total Investment Requirement (JD)	3,203,391
Internal Rate of Return (IRR)	%19.76
Pay-Back Period (year)	6
Net present value (JD)	1,052,700
Job Opportunities provided by the	71
Annual Revenue Projections (10 years)	19,994,863
Total Operating Expenses (10 years)	9,025,562
Net Profit (10 years)	4,419,124

Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

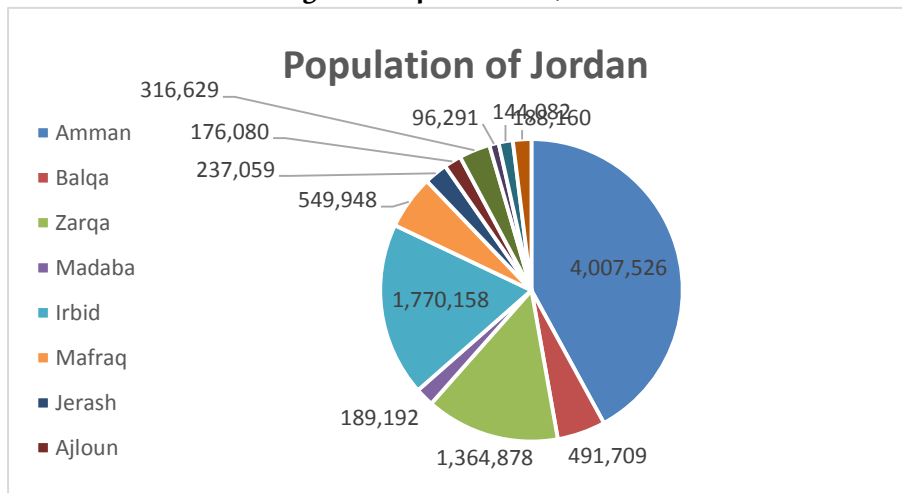
Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the

Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1 Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafrq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table2 : Population Distribution according to Age Group

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

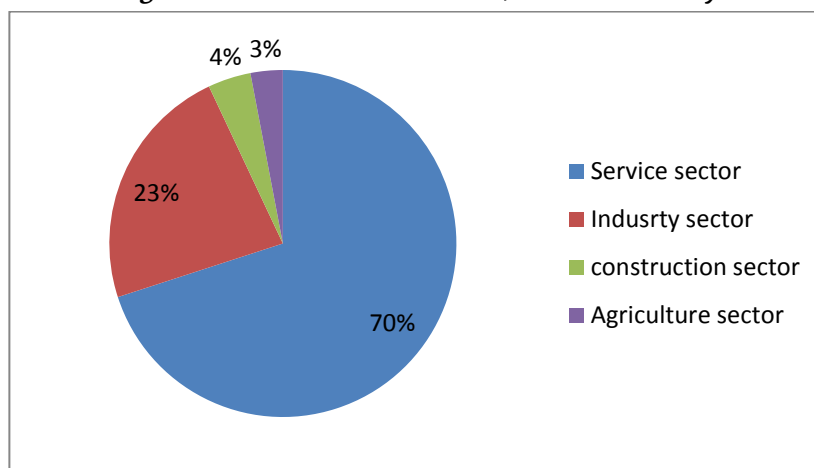
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure 2 Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International

Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

Furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

2. Market Analysis

Project Description

The project aims to exploit the presence of mineral water to create a therapeutic resort to improve the tourism sector in the region, due to the healing advantages of the available hot water, whereas this project is considered a feasible and needed one.

The project aims to create a resort that consists of 80 rooms and swimming pools along the old Turkish-bath, which offers visitors with services that were served in the old bathrooms, in addition to a number of services that are currently available at gyms, so that the visitor can enjoy a full service including massages, saunas, Jacuzzis, steam and hot tiles. The resort will consist of the following:

- 1- Guest rooms (80 rooms), which make up 40% of single rooms and 60% for double rooms
 - 2- Outdoor swimming pools
 - 3- Outdoor children's pool
 - 4- Indoor swimming pools
- All pools consist of mineral water
- 5- Turkish bathrooms containing Jacuzzi, sauna, steam rooms and offers massages, cold Russian bathroom and hot tiles
 - 6- Restaurant

Project Objectives

Project objectives are as follow:

- Exploit mineral water known for its high healing features
- Diversification of income resources and job opportunities
- Meet current and future demand for therapeutic tourism

Proposed Services

The resort offers relaxation and healing services using mineral water to cure chronic diseases and provides a range of services such as a massage center, sauna and gym and Turkish bath, which offers sauna and Jacuzzi.

The area contains warm mineral springs with a temperature reaching to around 43 Celsius. This spot is considered a suitable place for locals and foreign tourists that attracts annually thousands of visitors looking for calm, comfort, convenience and treatment in one place.

Target segments

Target customers are:

- Jordan local residents
- Tourists wishing to relax and unwind.
- Tourists.
- Tafilah Governorate population where it has services not available at other resorts.

Market Size Analysis

Market size is estimated for this project based on statistics by the Directorate of Tafilah, whereas the total number of tourists and visitors coming to Afra area in 2016 amounted to 10,780 tourists compared to 13,242 tourists in 2014 according to the following table:

Table 3: Number of Tafela Tourists (2012-2016)

Year	2012	2013	2014	2015	2016
Number of tourists	41,875	13,269	15,498	13,242	10,780

Source: Directorate of tourism tafilah (2017)

It should be noted that the number of visitors and tourists had fallen in 2016 because of the closure of tourist sites to rebuild, rehabilitate and protect the village of Afra Valley Stream from drifts as part of a tourism development project.

Competitors Analysis

After competitors' analysis was done, it was noticed that the project has direct and indirect competitors.

Tafilah Governorate level:

- 1- Afra resort: considered as a popular resort targeting other categories as the resort has no rooms and is currently not receiving guests because of maintenance work
- 2- Barbata resort: number of visitors has decreased in recent years as a result of the events surrounding Jordan, poor marketing and lack of care of the area.

On Jordan level:

1. Hamamat Ma'in

- Evasion Ma'in Resort: 97 rooms
- Main hot springs: 94 rooms

Price per night in the main resorts ranges from 90 – 110 JD/night.

2. Dead Sea

Lagoon Resort offers 251 rooms with different spaces, prices and services. The following table shows the spaces, services and room prices:

Table4 : Available Rooms with Different Spaces, Services, and Prices

Room space	Service provided	JD/night
Room 30 m ²	Breakfast, using all the pools	63
Room 30 m ²	Dinner, using all the pools	72
Room 35 m ²	Breakfast, using all the pools	88
Room 35 m ²	Dinner, using all the pools	130
Room 42 m ²	Breakfast, using all the pools	102
Room 42 m ²	Dinner, using all the pools	160
Room 70 m ²	Breakfast, using all the pools	160
Room 70 m ²	Dinner, using all the pools	218

3. Turkish baths:

- Lagoon Turkish bath: entrance fee 50 JD
- Alf Lela o Lela: entrance fee 30 JD
- Hareem Spa : entrance fee 30 JD
- Khan Zaman: entrance fee 12 JD

As for the other sites in the Kingdom, which provide mineral water for treatment purposes, such as hamamat alsukhneh in Madaba, Irbid Hamma Springs, al-shona in Irbid; services and prices vary, whereas there is more focus on local groups.

Occupancy Rates

To calculate the resort occupancy, occupancy rate was calculated between summer and winter seasons, where the rate starts at 15% in the first year up to a maximum of 50% per year in the eighth year as shown in the table below:

Table 5: Occupancy Rates for the Project

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Room occupancy	15%	20%	25%	30%	35%	40%	45%	50%	50%	50%
Pools occupancy	20%	30%	35%	45%	50%	50%	50%	50%	50%	50%
Facilities occupancy	20%	30%	35%	45%	50%	50%	50%	50%	50%	50%

The maximum capacity of the resort:

- Rooms: 80 rooms
- Pools occupancy: 150 person
- Facilities occupancy: 150 person

The following table shows the annual occupancy rates at the resort (2018 – 2027) depending on the proposed ratios and capacities:

Table 6 :Resort's Occupancy Rates (2018-2027)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Rooms' occupancy	4320	5760	7200	8640	10080	11520	12960	14400	14400	14400
Pools' occupancy (person)	10800	16200	18900	24300	27000	27000	27000	27000	27000	27000
Facilities occupancy	10800	16200	18900	24300	27000	27000	27000	27000	27000	27000

Number of occupied rooms = 80 rooms * 15% (occupancy rate) * 360 days = 4320 rooms will be occupied during the year

Pools' occupancy= 150 person * 20% (occupancy rate) * 360 days = 10800 person / year

Facilities' occupancy = 150 person * 20% (occupancy rate) * 360 days = 10800 person/ year

Price Analysis and Pricing Policy

After the study was done to determine the prices of the resort services, the following prices were proposed, assuming an annual increase on prices by 3% only:

Table 7: Suggested prices for the project

Service	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Room average prices (JD/night)	75	77	80	82	84	87	90	92	95	98
Pools' average entrance fees	15	15	16	16	17	17	18	18	19	20
Facilities average entrance fees	25	26	27	27	28	29	30	31	32	33

Revenue Projections Analysis

Table 8: Project Revenues for (2018-2027)

Revenues	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Rooms revenues	324000	444960	572886	708087.1	850884.7	1001613	1160619	1328264	1368112	1409155
Pools revenues	162000	250290	300765.2	398299	455831.1	469506	483591.2	498098.9	513041.9	528433.1
Facilities revenues	270000	417150	501275.3	663831.7	759718.4	782510	805985.3	830164.9	855069.8	880721.9
Total revenues	756000	1112400	1374926	1770218	2066434	2253629	2450195	2656528	2736223	2818310

3. Technical analysis

Required Human resources

Table 9: Required Human Resources

Job title	No.
Resort Manager	1
Financial Manager	1
Marketing Manager	1
Accountants	4
Marketing and sales employees	4
Janitors	20
Total indirect employees	31
Dermatology and physical therapist	6
Facilities employees	15
Chef	1
Sous Chef	4
Waiter	10
Reception staff	4
Total direct employees	40
Total	71

3.1.1 الوصف الوظيفي

- مدير منتج: يعمل منفرداً وضمن الصلاحية المخولة له ويقوم بتطوير وتطبيق السياسة العامة والخطة الإستراتيجية بما يضمن تحقيق الأهداف وتطوير خدمة الزبائن، وإدارة المرؤوسين وتنمية مهاراتهم، وتطوير إجراءات وتأمين مستلزمات السلامة والصحة المهنية و تحقيق أفضل أداء و ربح مالي .
- مدير تسويق: يعمل ضمن الصلاحية المخولة له ويقوم بالتخطيط لدراسة احتياجات السوق، ومتابعة نشاطات الدعاية والإعلام وتقييم فاعليتها، ومراقبة مستوى المبيعات وتنظيمها، وإدارة المرؤوسين وتنمية مهاراتهم.
- مدير مالي: تحديد الأهداف التنظيمية والتخطيط والتنظيم ومتابعة التنفيذ للخطط الخاصة بالإدارة المالية حسب اللوائح المنظمة والإجراءات المعتمدة.
- موظف تسويق: القيام بالأعمال التسويقية المطلوبة منه تبعاً للخطة المتبعة والمعتمدة من مدير التسويق والمبيعات بما يحقق أفضل إنتشار ممكن لمنتجات المؤسسة وبما يتناسب مع مكانتها
- محاسب: مسئول عن الحسابات المتعلقة بالمنتج.
- طبّاخ: إعداد وطهي المأكولات بالقسم التابع له بالمطبخ.
- مساعد طبّاخ: مساعدة الطباخ في إعداد وطهي المأكولات والاستجابة لطلباته ضمن نظام المنتج.
- موظف مرافق: يقوم بمرافقة النزلاء وتقديم الخدمات والمساعدة، وإعداد تقارير العمل.
- معالج طبيعى: تقديم خدمات العلاج الطبيعي للنزلاء وتطبيق إجراءات وتعليمات السلامة والصحة المهنية.
- موظف استقبال: استقبال الضيوف بطريقة مهنية وتوجيههم الى مطلبهم داخل المنتج بالإضافة الى تلقي وتحويل المكالمات الهاتفية اليومية من وإلى المنتج واستلام بعض انواع البريد القادمة للمنتج وتسجيل اسماء النزلاء وقت الدخول والخروج.
- النادل: يقوم بتقديم الأطعمة والمشروبات وإسداء المشورة للنزلاء ، وإعداد الموائد والترحيب بالضيوف، وتقديم قوائم الطعام والمشروبات واستلام الطلبات وتقديم الطعام.
- عمال نظافة: القيام بأعمال النظافة والتلميع والتطهير اللازمة لأسطح المكاتب والحمامات والمداخل والادراج.

Site Analysis

Based on market analysis, suitable places for the project are as follow:

Sobella area: an area that overlooks Hamamat Afra, Ibn Amer shrine, supplied with various services of electricity and water. It is located on the tourist road that connects the provinces together. However, it is necessary to use pumps in order to provide water and lift it into the area.

Alberbitah area: located near a popular site on Al Hussein stream, it contains groves of different kinds of fruits like guava.

Alsoblla area was suggested to be chosen based on Al Tafilah Directorate of Tourism studies, since it is better equipped with electricity, water and infrastructure necessary for the establishment of investment projects.

However, the investor has one task, which is to pull mineral water from below through pumps to a height ranges between (200-300) meters, and during the study, this matter has been taken into account in the financial aspect when calculating the costs.

Technical Requirements Analysis

1.1.1 Land and Construction Works

The project will be located on a 10,000 m² area. The following table shows the required land:

Table10 : Required Land

Land	Price (JD/m2)	Area (m2)
Required land	40	10.000

Source: average price in tafila

Construction work required for the project is as follows:

Table 11: Required Construction Work

Construction works	Area (m2)
Building works	3000
Building designs and schemes	4000
Excavation work	3000
Earth construction	1000

Machinery and Equipment

The following table shows the machinery and equipment needed for the project as follows:

Table 12: Required machinery and equipment's

Machinery and equipment	Quantity
Firefighting equipment's	3
Elevator	2
Central air conditioner	1
Water pumps + extensions	2
Kitchen	1

The project site is 300 m higher than the water source, and therefore there would be a need to use pumps and installations to lift water to reach the resort.

Furniture

The project needs the following furniture and furnishings:

Table 13: Required Furniture

Furniture	Price JD/unit
Room beds	80
TVs	80
Refrigerators	80
Room furniture supplements	80
Bathrooms	80
Kitchen	1

Vehicles and Transportation

The following table shows the list of vehicles and transportation required for the project:

Table 14: Required Vehicles

Vehicles and Transportation	Quantity
Pick-up	1

Legal Proceedings

Hotel facility licensing procedure:

The following must be stated in the accommodation license request:

- Name, address or head office of accommodation provider.
- Tax identification number and statistical number of accommodation provider.
- Address, topographical lot number and block plan of accommodation facility.
- Capacity of accommodation facility: number of guest rooms and, in the case of camp sites, number of units, and number of beds.
- Grounds for use of accommodation facility.
- Name of accommodation facility.
- Accommodation type for which accommodation provider requests operating license.
- Whether the accommodation provider wishes to produce, use or sell foodstuffs and food ingredients on the premises of the accommodation facility.
- Whether the accommodation provider requests an on-site inspection.

The following must be enclosed with the accommodation license request:

- In the case of an accommodation facility which is not the applicant's property, deed verifying the grounds for the use of the accommodation facility or a copy thereof, not including the title sheet must be provided.
- In the case of an accommodation facility encumbered with usufruct, if the accommodation provider is not the owner or usufructuary beneficiary, deed verifying usufructuary beneficiary's consent is required.
- In the case of an accommodation facility in joint ownership, if not all co-owners proceed as accommodation providers, deed verifying co-owners' consent is required.
- Duties payable for the procedure and the proceedings of the relevant authorities paid in the form of duty stamps.



4. Financial Analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 14.66% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 15: General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 16: Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 17 :Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 18: Expenses Assumptions

Expenses Assumptions	
Raw Materials and Packaging from Total Revenues	15%
Utilities Expenses from Total Revenues	7.5%
Maintenance Expenses from Total Revenues	1%
Depreciation Expenses from Total Revenues	0.5%
Insurance Expenses from Total Assets Value	0.50%
Marketing Expenses from Total Revenues	3%

Table 19: Income Tax Assumptions

Income Tax Assumptions	Value
Average Income Tax in Jordan (1)	20%

Income Tax Deduction (2)	0%
Income Tax after Deduction	20%
Compulsary Reserve Percentage (3)	10%
Other Assumptions	Value
Annual Monthly Salaries have been calculated after multiplying monthly salaries	16

Risk Premiun	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premiun	10.12%
Income Tax Rate	%20
(4) Beta	0.89
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table 20: Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premiun	%9.93
Income Tax Rate	%20
Bets	1.00
Equity	2,562,713
Loans Value	640,678
Loans	
Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%7.58
Loans Value	640,678
Loans Percentage	%20
Equity	
Cost of Equity	%16.4
Equity Value	2,562,713

Equity Percentage	%80
Gross	
Project Value	3,203,391
Weighted Average Cost of Capital	%14.66

Capital Expenditures

The estimated cost of the project is 3,103,390 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 21: Land Capital Expenditure

Land	(Jordan Dinar/Meters Square) Cost	Area (M2)	Cost
Required Land	40	10,000	400,000
Cost			400,000

Table 22: Construction Work Capital Expenditure

Description	Cost (JOD per Squared	Area	Gross
Construction Works	550	3000	1,650,000
Design and blueprints	7	4000	28,000
Excavation	5	3000	15,000
Paving	12	1000	12,000
Soil Test	200	1	200
Other Works	50	4000	200,000
Total			1,905,200

Table 23: Machinery and equipment capital expenses

Machinery and equipment	No.	Price JD/unit	Total (JD)
Firefighting equipment's	3	500	1,500
Elevator	2	15,000	30,000
Central air conditioner	1	50,000	50,000
Water pumps + extensions	2	30,000	60,000
Kitchen	1	35,000	35,000
Total			176,500

Table 24: Furniture capital expenses

furniture and furnishings:	Number	Price JD/unit	Total (JD)
Room beds	80	500	40,000
TVs	80	200	16,000
Refrigerators	80	100	8,000
Room furniture supplements	80	700	56,000
Bathrooms	80	700	56,000
Kitchen	1	25,000	25,000
Total			201,000

Table 25: Pre-operating expenses

Pre-operating expenses	Estimated cost (JD)
Governmental fees	1,500
Transportation	1,500
Marketing	2,500
Training	2,500
Total	8,000

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 26: Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	3	%25	127,556
General and administrative expenses	3	%25	7,393
Marketing expenses	3	%25	4,725
Indirect Salaries	3	%25	58,400
Total			198,074

Table 27: Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Land	400,000	10%	440,000	%13.7
Construction works	1,905,200	10%	2,095,720	%65.4
Machinery & Equipment	176,500	10%	194,150	%6.1
Furniture	201,000	10%	221,100	%6.9
Vehicles	23,400	10%	25,740	%0.8
Pre-Operating Expenses	8,000	10%	8,800	%0.3
Working capital	198,074	10%	217,881	%6.8
Total (JD)	2,912,174		3,203,391	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (3,203,391) JD, where 20% of the project will be financed through loans (640,678) JD, and the remaining (80%) through (Equity) with (2,562,713) JD. The following table summarizes the general structure of the required financing:

Table 28: Sources of Funding

Funding Sources	Amount	Percentage
Equity (Self Financing)	2,562,713	%80
Loans	640,678	%20
Total	3,203,391	%100
Use of Fund:	Amount	Percentage
Capital Expenditures	2,976,710	%92.92
Pre-Operating Expenses	8,800	%0.27
Working Capital	217,881	%6.80
Total	3,203,391	%100.00

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 29: Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials and Packaging from	113,40	166,86	206,23	265,53	309,96	338,04	367,529	398,479	410,434	422,747
Utilities from Revenues	56,700	83,430	103,11	132,76	154,98	169,02	183,765	199,240	205,217	211,373
Maintenance from Revenues	7,560	11,124	13,749	17,702	20,664	22,536	24,502	26,565	27,362	28,183
Disposables from Revenues	3,780	5,562	6,875	8,851	10,332	11,268	12,251	13,283	13,681	14,092
Direct Salaries	282,40	293,97	306,03	318,57	331,64	345,23	359,393	374,128	389,467	405,435
Others	46,384	56,095	63,601	74,343	82,758	88,611	94,744	101,169	104,616	108,183
Total	510,22	617,05	699,61	817,77	910,34	974,72	1,042,18	1,112,86	1,150,77	1,190,01

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 30: General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	3,600	3,708	3,819	3,934	4,052	4,173	4,299	4,428	4,560	4,697
Hospitality	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Stationary and Printing	3,600	3,708	3,819	3,934	4,052	4,173	4,299	4,428	4,560	4,697
Transportation	2,400	2,472	2,546	2,623	2,701	2,782	2,866	2,952	3,040	3,131
Training	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Insurance	14,884	15,330	15,790	16,264	16,752	17,254	17,772	18,305	18,854	19,420
Miscellaneous	2,688	2,769	2,852	2,938	3,026	3,117	3,210	3,306	3,406	3,508
Total	29,572	30,459	31,373	32,314	33,283	34,282	35,310	36,370	37,461	38,585

Marketing Expenses

Table 31: Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	18,900	27,810	34,373	44,255	51,661	56,341	61,255	66,413	68,406	70,458

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 32: Expected Number of Employees

Job Title	No.	Monthly Salary	Total Monthly Salaries	Total Annual Salaries
Indirect Employees				
Resort Manager	1	3,000	3,000	48,000
Financial Manager	1	1,600	1,600	25,600
Marketing Manager	1	1,200	1,200	19,200
Accountants	4	600	2,400	38,400
Marketing and sales employees	4	600	2,400	38,400
Janitors	20	200	4,000	64,000
Total indirect employees	31		14,600	233,600
Direct Employees				
Dermatology and physical therapist	6	750	4,500	72,000
Facilities employees	15	350	5,250	84,000
Chef	1	1,200	1,200	19,200
Sous Chef	4	450	1,800	28,800
Waiter	10	350	3,500	56,000
Reception staff	4	350	1,400	22,400
Total direct employees	40		17,650	282,400
Total	71		32,250	516,000

Table 33: Expected Monthly Salaries

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect Employees										
Resort Manager	3,000	3,123	3,251	3,384	3,523	3,668	3,818	3,974	4,137	4,307
Financial Manager	1,600	1,666	1,734	1,805	1,879	1,956	2,036	2,120	2,207	2,297
Marketing Manager	1,200	1,249	1,300	1,354	1,409	1,467	1,527	1,590	1,655	1,723
Accountants	600	625	650	677	705	734	764	795	827	861
Marketing and sales employees	600	625	650	677	705	734	764	795	827	861
Janitors	200	208	217	226	235	245	255	265	276	287
Direct Employees										
Dermatology and physical therapist	750	781	813	846	881	917	954	994	1,034	1,077
Facilities employees	350	364	379	395	411	428	445	464	483	502
Chef	1,200	1,249	1,300	1,354	1,409	1,467	1,527	1,590	1,655	1,723
Sous Chef	450	468	488	508	528	550	573	596	621	646
Waiter	350	364	379	395	411	428	445	464	483	502
Reception staff	350	364	379	395	411	428	445	464	483	502

Table 34: Expected Annual Salaries

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect Employees										
Resort Manager	48,000	49,968	52,017	54,149	56,369	58,681	61,087	63,591	66,198	68,912
Financial Manager	25,600	26,650	27,742	28,880	30,064	31,296	32,579	33,915	35,306	36,753
Marketing Manager	19,200	19,987	20,807	21,660	22,548	23,472	24,435	25,436	26,479	27,565
Accountants	38,400	39,974	41,613	43,319	45,096	46,945	48,869	50,873	52,959	55,130
Marketing and sales employees	38,400	39,974	41,613	43,319	45,096	46,945	48,869	50,873	52,959	55,130
Janitors	64,000	66,624	69,356	72,199	75,159	78,241	81,449	84,788	88,264	91,883
Total indirect employees	233,600	243,178	253,148	263,527	274,332	285,579	297,288	309,477	322,165	335,374
Direct Employees										
Dermatology and physical therapist	72,000	74,952	78,025	81,224	84,554	88,021	91,630	95,387	99,298	103,369
Facilities employees	84,000	87,444	91,029	94,761	98,647	102,691	106,901	111,284	115,847	120,597
Chef	19,200	19,987	20,807	21,660	22,548	23,472	24,435	25,436	26,479	27,565
Sous Chef	28,800	29,981	31,210	32,490	33,822	35,208	36,652	38,155	39,719	41,347
Waiter	56,000	58,296	60,686	63,174	65,764	68,461	71,268	74,190	77,231	80,398
Reception staff	22,400	23,318	24,274	25,270	26,306	27,384	28,507	29,676	30,893	32,159
Total direct employees	282,400	293,978	306,032	318,579	331,641	345,238	359,393	374,128	389,467	405,435
Total	516,000	537,156	559,179	582,106	605,972	630,817	656,680	683,604	711,632	740,809

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 35: Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Land	440,000	%0.0	%0.0
Construction Works	2,095,720	%5.0	%0.0
Machinaries	194,150	%10.0	%2.0
Furniture	221,100	%10.0	%5.0
Vehicles	25,740	%10.0	%0.0
Total	2,976,710		

Table 36: Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	2,976,710	2,991,648	3,007,216	3,023,444	3,040,363	3,058,003	3,076,400	3,095,587	3,115,603	3,136,486
Total Depreciation Expenses	148,885	150,379	151,936	153,558	155,250	157,014	158,854	160,773	162,774	164,863
Total Accumulated Depreciation	148,885	299,264	451,199	604,758	760,008	917,022	1,075,876	1,236,649	1,399,423	1,564,286
Total Additions	0	14,938	15,568	16,228	16,918	17,641	18,396	19,188	20,016	20,883
Total Net Book Values	2,827,825	2,692,384	2,556,017	2,418,687	2,280,354	2,140,981	2,000,523	1,858,938	1,716,180	1,572,200

Loan

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table 37: Loan Details

Loan Value	640,678
Annual Interest Rate	9.48%
Loans Period	5
Grace Period	2018
Loan Starts at year:	166,770
Annual Payment	5
Number of Payments	640,678

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				640,678
2019	166,770	60,736	106,034	534,645
2020	166,770	50,684	116,086	418,559
2021	166,770	39,679	127,091	291,468
2022	166,770	27,631	139,139	152,329
2023	166,770	14,441	152,329	0

Income Statement

Table 38: Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	756,000	1,112,400	1,374,926	1,770,218	2,066,434	2,253,629	2,450,195	2,656,528	2,736,223	2,818,310
Gross Operating Revenues	756,000	1,112,400	1,374,926	1,770,218	2,066,434	2,253,629	2,450,195	2,656,528	2,736,223	2,818,310
Operating Expenses	-510,224	-617,050	-699,615	-817,774	-910,343	-974,720	-1,042,183	-1,112,864	-1,150,777	-1,190,012
Gross Operating Profit	245,776	495,350	675,311	952,444	1,156,091	1,278,909	1,408,012	1,543,664	1,585,447	1,628,298
Gross Profit Percentage	%33	%45	%49	%54	%56	%57	%57	%58	%58	%58
Salaries and Benefits (Indirect Staff)	-233,600	-243,178	-253,148	-263,527	-274,332	-285,579	-297,288	-309,477	-322,165	-335,374
General and Administraive Expenses	-29,572	-30,459	-31,373	-32,314	-33,283	-34,282	-35,310	-36,370	-37,461	-38,585
Markeing Expenses	-18,900	-27,810	-34,373	-44,255	-51,661	-56,341	-61,255	-66,413	-68,406	-70,458
Pre Operating Expenses	-8,800									
Gross Indirect Expenses	-290,872	-301,447	-318,894	-340,096	-359,276	-376,202	-393,853	-412,260	-428,032	-444,416
Income before Interest, Depreciation and Tax	-45,096	193,903	356,417	612,347	796,815	902,707	1,014,159	1,131,404	1,157,415	1,183,881
Fixed Assets Depreciations	-148,885	-150,379	-151,936	-153,558	-155,250	-157,014	-158,854	-160,773	-162,774	-164,863
Income before Tax and Interests	-193,981	43,525	204,482	458,789	641,565	745,693	855,305	970,632	994,641	1,019,019

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Bank Interests	-60,736	-50,684	-39,679	-27,631	-14,441	-0	-0	-0	-0	-0
Income Before Tax	-254,717	-7,160	164,802	431,158	627,124	745,693	855,305	970,632	994,641	1,019,019
Income Tax	0	0	0	-84,889	-125,425	-149,139	-171,061	-194,126	-198,928	-203,804
Net Profit	-254,717	-7,160	164,802	346,268	501,699	596,554	684,244	776,505	795,713	815,215
Net Profit Percentage	%34-	%1-	%12	%20	%24	%26	%28	%29	%29	%29
Compulsory Reserves	0	0	-16,480	-34,627	-50,170	-59,655	-68,424	-77,651	-79,571	-81,521
Retained Earnings	-254,717	-261,877	-113,555	198,087	649,616	1,186,515	1,802,334	2,501,189	3,217,331	3,951,024

Expected Cashflows Statement

The table below summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 39: Expected Cashflows

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	-254,717	-7,160	164,802	346,268	501,699	596,554	684,244	776,505	795,713	815,215
Bank Interests	60,736	50,684	39,679	27,631	14,441	0	0	0	0	0
Depreciation	148,885	150,379	151,936	153,558	155,250	157,014	158,854	160,773	162,774	164,863

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Operating Cashflows before Additions to Working Capital	-45,096	193,903	356,417	527,458	671,390	753,569	843,098	937,278	958,487	980,078
Inventory (Increase/Decrease)	-9,450	-4,455	-3,282	-4,941	-3,703	-2,340	-2,457	-2,579	-996	-1,026
Accounts Receivables (Increase/Decrease)	0	0	0	0	0	0	0	0	0	0
Accounts Payables (Increase/Decrease)	66,137	8,894	7,198	9,811	8,023	6,050	6,330	6,622	4,326	4,487
Working Capital (Increase/Decrease)	56,687	4,439	3,916	4,870	4,320	3,710	3,873	4,043	3,330	3,461
Net Cashflows from Operating Activities	11,591	198,343	360,333	532,328	675,710	757,278	846,971	941,321	961,817	983,539
Cashflows from Investments Activities										
Fixed Assets (Procurement)	-2,976,710	-14,938	-15,568	-16,228	-16,918	-17,641	-18,396	-19,188	-20,016	-20,883
Net Cashflows from Investments Activities	-2,976,710	-14,938	-15,568	-16,228	-16,918	-17,641	-18,396	-19,188	-20,016	-20,883
Cashflows from Financing Activities										
Capital	2,562,713									
Loan Amortization	-106,034	-116,086	-127,091	-139,139	-152,329	0	0	0	0	0
Bank Interest Rate	-60,736	-50,684	-39,679	-27,631	-14,441	-0	-0	-0	-0	-0
Loans	640,678	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing Activities	3,036,621	-166,770	-166,770	-166,770	-166,770	0	0	0	0	0
Net (Increase/Decrease) in Cash	71,503	16,635	177,995	349,329	492,022	739,638	828,574	922,133	941,801	962,656
Cashflows at the Beginning of Period	0	71,503	88,138	266,133	615,462	1,107,484	1,847,122	2,675,696	3,597,829	4,539,630
Cashflows at the End of Period	71,503	88,138	266,133	615,462	1,107,484	1,847,122	2,675,696	3,597,829	4,539,630	5,502,286

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 40: Expected Balance Sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	71,503	88,138	266,133	615,462	1,107,484	1,847,122	2,675,696	3,597,829	4,539,630	5,502,286
Inventory	9,450	13,905	17,187	22,128	25,830	28,170	30,627	33,207	34,203	35,229
Total current Assets	80,953	102,043	283,319	637,590	1,133,315	1,875,292	2,706,324	3,631,036	4,573,833	5,537,515
Non Current Assets										
Fixed Assets (net)	2,827,825	2,692,384	2,556,017	2,418,687	2,280,354	2,140,981	2,000,523	1,858,938	1,716,180	1,572,200
Total Non Current	2,827,825	2,692,384	2,556,017	2,418,687	2,280,354	2,140,981	2,000,523	1,858,938	1,716,180	1,572,200
Assets										
Total Assets	2,908,778	2,794,427	2,839,336	3,056,276	3,413,669	4,016,273	4,706,847	5,489,974	6,290,013	7,109,715
Liabilities	-	-	-	-	-					
Current Liabilities										
Paybles	66,137	75,032	82,229	92,040	100,063	106,113	112,442	119,064	123,391	127,878
Remaining amount of	116,086	127,091	139,139	152,329	0-	0-	0-	0-	0-	0

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Loan										
Total current Liabilities	182,223	202,122	221,368	244,369	100,063	106,113	112,442	119,064	123,391	127,878
Non Current Liabilities										
Long Terms Loans	418,559	291,468	152,329	0	0	0	0	0	0	0
Total Long Term Liabilities	418,559	291,468	152,329	0	0	0	0	0	0	0
Total Liabilities	600,782	493,590	373,697	244,369	100,063	106,113	112,442	119,064	123,391	127,878
Owners Equity										
Shareholders Contributions	2,562,713	2,562,713	2,562,713	2,562,713	2,562,713	2,562,713	2,562,713	2,562,713	2,562,713	2,562,713
Statutory Reseve	0	0	16,480	51,107	101,277	160,932	229,357	307,007	386,579	468,100
Retained Profits	254,717-	261,877-	113,555-	198,087	649,616	1,186,515	1,802,334	2,501,189	3,217,331	3,951,024
Total Equity	2,307,996	2,300,836	2,465,639	2,811,907	3,313,606	3,910,160	4,594,404	5,370,910	6,166,622	6,981,837
Total Liabilities and Equity	2,908,778	2,794,427	2,839,336	3,056,276	3,413,669	4,016,273	4,706,847	5,489,974	6,290,013	7,109,715

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 41: Free Net Cash flows Table

Net Cashflows	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Final Value
Net Free Cashflows	-3,203,391	20,391	183,405	344,765	516,100	658,792	739,638	828,574	922,133	941,801	962,656	9,391,059
Discount Factor	1.00	0.76	0.66	0.58	0.50	0.44	0.38	0.33	0.29	0.25	0.22	0.22
Net Present Value for Cash Flows	-3,203,391	15,510	121,665	199,463	260,411	289,907	283,867	277,339	269,190	239,778	213,750	2,085,211

Table below illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 42: Payback Period

Payback Period	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	-3,203,391	20,391	183,405	344,765	516,100	658,792	739,638	828,574	922,133	941,801	962,656
Project Value Returned	3,203,391	3,183,000	2,999,595	2,654,830	2,138,731	1,479,938	740,301	-88,274	-1,010,406	-1,952,208	-2,914,864
Payback Period (Year)	6	1	1	1	1	1	1	0	0	0	0

Table 43: Financial Analysis Results

Weighted Average Cost of Capital (WACC)	%14.66
Net Present Value for Cashflows	1,052,700
Payback Period	6
Internal Rate of Return	%19.76

Table 44: Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%19.76	6	14.66%
Revenues declined by 10%	%16.71	7	14.66%
Operating Expenses Increased by 10%	%17.83	7	14.66%

Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 1,052,700 Jordan Dinars considering that the project provides 71 Job Opportunities for the governorate residents.